	Evaluation of issue	Further substantive procedures
1.	The underpayment of the National Minimum Wage to staff is material and, based on HMRC's reported stance, Pamper may be liable for a material amount. **(1 mark)** If Pamper does not make the appropriate provision, then liabilities and expenses will be understated. **(1 mark)**	Review correspondence with HMRC, regarding its assessment of likelihood of liability. **(1 mark)** Obtain written confirmation from Pamper's legal counsel *(alternatively, could obtain the advice of an auditor's expert)* regarding their view as to the likely outcome and their estimate of the related financial exposure, including penalties. **(2 marks)**
2.	The full amount of the golf club subscriptions paid in advance was recognised as income in Pamper's financial statements, rather than the seven months from 1 April to 31 October 20X9. **(1 mark)** This has materially overstated revenue by £412,500 (£2,250 x 440 x 5/12) as this revenue relates to November 20X9 to March of the following year. **(1 mark)**	Obtain a listing of all members who paid in advance for their membership in April, and re-calculate the proportion which should have been deferred based on the pro-rata of the membership year. **(2 marks)** Obtain documentation to confirm the amounts received (eg via bank statements) and agree to list of members on the annual payment plan on a sample basis. **(2 marks)**
3.	A material amount of revenue, 40%, is derived from the three-year contract with the golf holiday specialist. **(1 mark)** As negotiations are ongoing, there is a material uncertainty concerning the outcome. If the contract is not renewed this could impact going concern and require disclosure in the financial statements. **(1 mark)**	Review correspondence with the golf holiday specialist to assess likelihood of the renewal of the contract. **(1 mark)** Sensitivity analysis should be performed on the future cash flow forecasts, **(1 mark)** with supporting evaluation of any contingency plans. **(1 mark)**

	Evaluation of issue	Further substantive procedures
4.	The inventory value is overstated as a result of the damaged items valued at £19,000 not being written off. **(1 mark)** However, the value is not material and is below the trivial threshold of £20,000. **(1 mark)**	No further procedures are required as the amount has already been confirmed and is clearly trivial. **(1 mark)**
5.	Pamper has an undisclosed related party transaction with Owen Ross. **(1 mark)** Although the value of the related party loan is not material by value, failure to disclose would be material by nature. **(1 mark)**	Obtain a copy of the bank statement to confirm the value of the payment made was £175,000. **(1 mark)** Obtain a copy of the loan agreement including the amount and the loan terms. **(1 mark)** Review board minutes for Pamper and request management representations that there are no other undisclosed related party transactions relevant to the consolidated financial statements. **(2 marks)**
6.	A bank balance of £600,000 was omitted from the bank confirmation letter and this balance is material to the financial statements. **(1 mark)** We therefore have no third-party confirmation of this balance to confirm its existence and the company's right to recognise the balance. **(1 mark)**	Re-contact the bank to request confirmation of the balance in writing. **(1 mark)** The external confirmation should then be reconciled to the balance included in the financial statements, including the audit of any reconciling items. **(2 marks)**